

3.1 Accounts Required to Trade in Stock Market



Bank Account

A normal bank account where your money resides. It can be with banks such as SBI, Kotak Mahindra, HDFC, and many more.



Trading Account

A share broker account that allows you to trade in equity and stock market. This trading account must be opened via a broker such as Zerodha, Motilal Oswal, or Upstox. With a trading account, an investor can buy and sell stocks in the stock market.



Demat Account

A Demat account holds the equity shares purchased by an investor. Once we purchase shares, rather than getting a physical stock certificate we get digital version which is automatically placed in the Demat account..

When we Buy/Sell shares

- When an investor purchases a share through a trading account, the money is automatically deducted from the bank account, and stocks are digitally credited to the Demat account.
- Similarly, when shares are sold through a trading account, the money is automatically credited in the bank account and stocks are withdrawn from the Demat Account.